Sun Pharmaceuticals Industries Ltd

Healthcare | Pharmaceuticals | Latest FY: Mar-24 | ₹ Crore

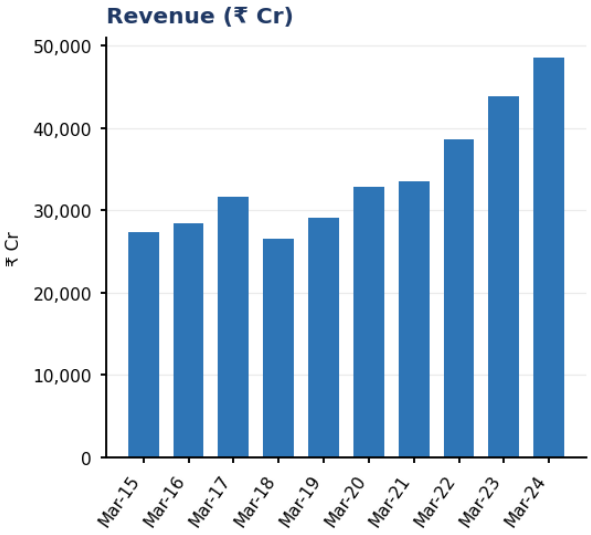
SUNPHARMA

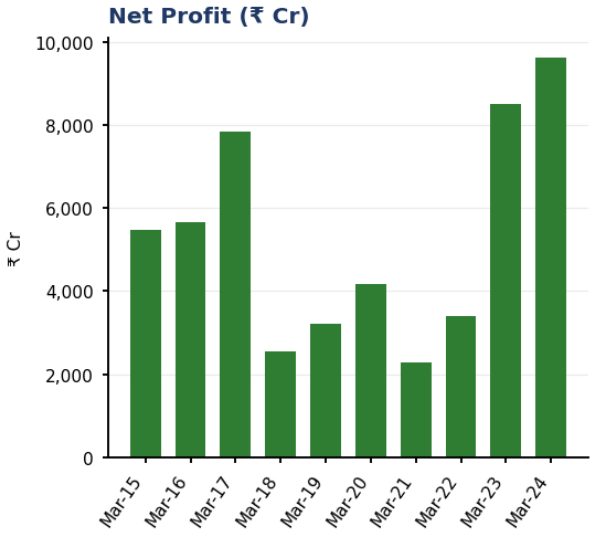
Key Performance Indicators

RETURN ON EQUITY	RETURN ON CAPITAL EMPLOYED	OPERATING PROFIT MARGIN
15.1%	**15.6%**	**26.8%**
▼ -0.1 pts vs Mar-23	▲ +1.1 pts vs Mar-23	▲ +0.3 pts vs Mar-23

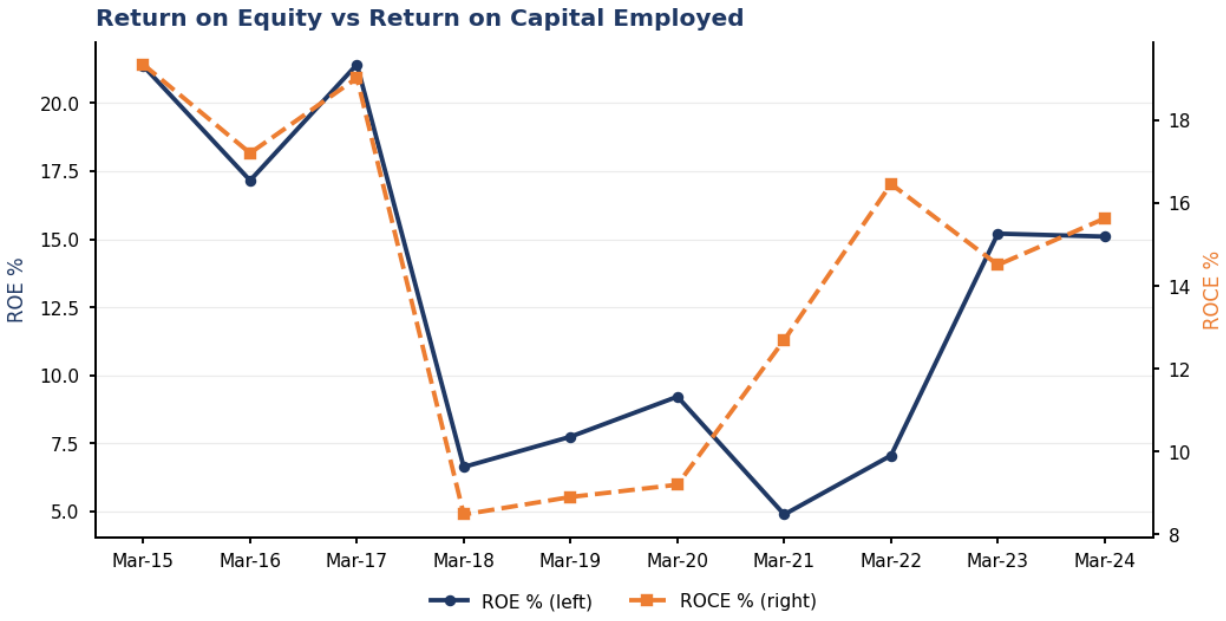
DEBT / EQUITY	REVENUE CAGR (5Y)	NET PROFIT CAGR (5Y)
0.05x	**10.8%**	**24.5%**
▼ -0.07x vs Mar-23	compound annual rate	compound annual rate

10-Year Revenue and Net Profit





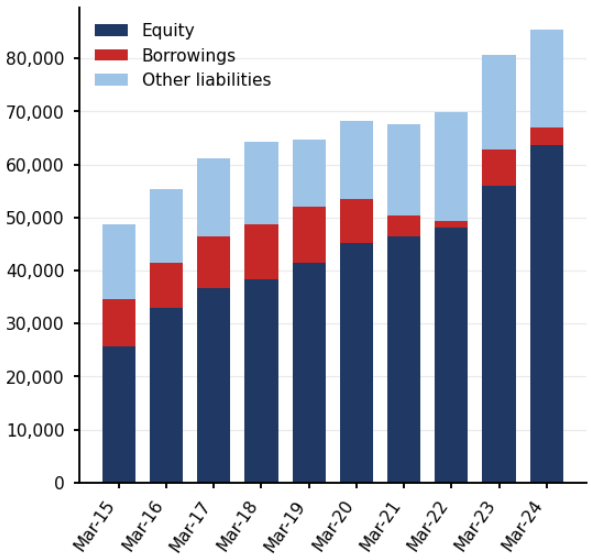
Return on Equity and Return on Capital Employed



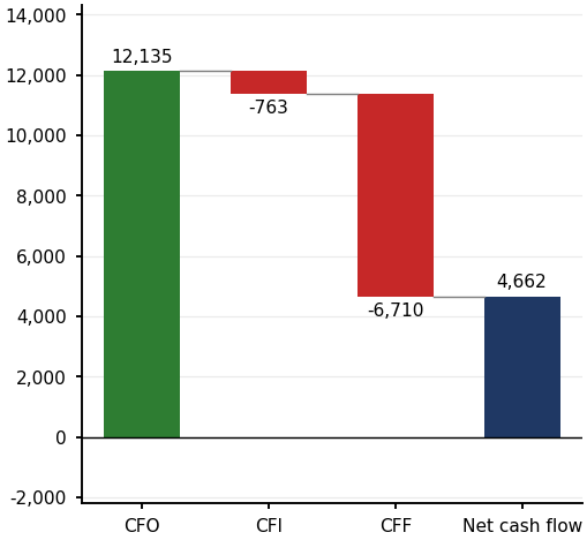
Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

Balance Sheet Composition and Latest-Year Cash Flow

Balance Sheet Composition (₹ Cr)



Cash Flow Waterfall – Mar-24 (₹ Cr)



Capital Allocation

Reinvestor

Pattern history (CFO / CFI / CFF signs): Mar-21: Shareholder Returns → Mar-22: Reinvestor → Mar-23: Aggressive Expander → Mar-24: Reinvestor

Cash Flow Intelligence

CFO QUALITY (5Y CFO/PAT)	CAPEX INTENSITY	FCF CONVERSION	FCF CAGR (5Y)	FLAGS
1.76x	**8.2%**	**46%**	**43.2%**	**Deleveraging**
High Quality	Capital Intensive	FCF / operating profit		

Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing (95%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (94%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (92%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (78%)
- Consistent dividend yield above 2% backed by positive free cash flow (73%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (72%)

+1 more in pros_cons_generated.csv

Cons

- Return on capital employed of 15.6% is below the Healthcare sector median of 18.5% (66%)

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.